July 7, 2026 Item No. **11a**

Honorable Mayor and Members
of the City Council

City Council Meeting
of July 7, 2026

CITY COUNCIL CONSIDER ADOPTING RESOLUTION NO. 2026- ORDERING THE SUBMISSION TO CITY VOTERS OF A PROPOSED UTILITY USERS' TAX OF 7% AT THE GENERAL MUNICIPAL ELECTION TO BE HELD ON NOVEMBER 3, 2026, AS PREVIOUSLY CALLED BY RESOLUTION NO. 2026-71

RECOMMENDATION:

It is recommended that the City Council:

1. Adopt Resolution No. 2026-, which would submit to City voters a proposed Utility Users Tax Ordinance at the general municipal election held on November 3, 2026, which election was previously called by the City Council pursuant to Resolution No. 2026-71.

BACKGROUND:

Since at least September 2025, the City Council has been discussing potential funding strategies for the construction and/or modernization of City facilities, since many current facilities are aged, deteriorating, and do not meet modern safety standards. One such funding strategy identified through this process, and unanimously recommended by the City Facilities Citizen Advisory Committee (CFCAC), is a Utility Users Tax (UUT), which would impose a tax on the users of certain utility services in Marina, and which would provide revenue for these and other general municipal purposes. The full background on these discussions, including projected UUT revenue and polling results, can be found in the staff reports for the September 3, 2025, December 16, 2025, January 21, 2026, February 18, 2026, March 3, 2026, April 21, 2026, and June 16, 2026 City Council meetings.

At the June 16, 2026, Council meeting, Council directed staff to prepare a resolution that, if adopted, would place a proposed UUT ordinance on the ballot for the November 3, 2026 general election. Council further directed staff that the proposed UUT ordinance should have the following applicability and exemptions:

- Applies to water, gas, electric, telecommunications (including mobile), and video (including cable, satellite, and streaming);
- 7% tax rate for all covered utilities;
- Reduced 3.5% rate for all covered utilities for households eligible for the PG&E CARE program, and senior (65+) households at or below 80% of Monterey County AMI

Following the June 16 meeting, staff consulted with HdL Companies, an existing City consultant with expertise in UUTs, including administration of UUTs for California cities. If the voters adopt the UUT, staff recommends that the City contract with HdL to administer the tax.

ANALYSIS

Resolution No. 2026-, attached as Exhibit A, would submit the **MARINA 911 EMERGENCY, PUBLIC SAFETY, COMMUNITY SERVICES MEASURE,** which contains a proposed ordinance imposing a 7% UUT tax, to City voters at November 3, 2026 election. The Resolution also addresses various other related matters regarding the election, including the proposed ballot question, the voter approval requirement, and the filing of ballot arguments. The proposed ordinance, which would also be attached to the Resolution, is attached to this report as Exhibit B.

Proposed Ballot Question:

The proposed ballot question, which is exactly at the 75-word maximum word count allowed under state law, is as follows:

MARINA 911 EMERGENCY, PUBLIC SAFETY, AND COMMUNITY SERVICES MEASURE. To ensure firefighters, paramedics, police officers response to emergencies/ natural disasters, emergency operations during an earthquake; maintain safe/clean drinking water; repair streets/potholes; prevent disruptions to City services; and provide general municipal services, shall the City of Marina's measure establishing a 7% utility users' tax with low-income rates, generating approximately $3,830,000 annually until ended by voters, requiring spending disclosures, audits, all funds spent locally, be adopted?	**YES** **NO**

In order to place the proposed measure on the ballot, the Resolution must be approved by a two-thirds vote of the Council.

Related Election Issues

Because the municipal election on November 3, 2026, election has already been called and consolidated with the statewide election on the same date, the Resolution would request that the County of Monterey submit this ballot measure to the City's voters at the consolidated election.

Because the proposed ordinance is lengthy, and as authorized by Elections Code section 9280, the Resolution provides that the text of the measure will not be placed in the voter information guide or sample ballot. Instead, the proposed ordinance would be available free of charge at City Hall, on the City's website, and by mail upon request.

The Resolution would direct the City Attorney to prepare an impartial analysis showing the effect of the ballot measure on existing law and the operation of the measure.

The Resolution also provides for the Council to authorize and direct up to two Council members to prepare and submit the ballot argument in favor of the measure and to request up to three other persons who are not City Council members to sign the argument, up to a maximum of five signers as authorized by Elections Code section 9283. These Council members and the other signers of the primary argument may, but are not required to, authorize other persons to the sign the rebuttal argument, pursuant to Elections Code section 9285.

Primary arguments for and against the measure would be due on August 13, 2026, and rebuttal arguments would be due on August 20, 2026.

Proposed Ordinance

The proposed ordinance is modeled on the City of Watsonville's Utility User Tax Ordinance, which is consistent with other modern, functional, and well-organized UUT ordinances in California. The proposed UUT ordinance attached to Exhibit A includes the direction provided by Council regarding the proposed rate, covered utilities, and reduced rate for certain low income and senior households.

Future Actions

If Council adopts the resolution, and the voters approve the UUT measure, no further action is needed from Council with the exception of certifying the election results. If approved, staff will bring an item forward to retain HdL to implement and administer the tax.

FISCAL IMPACT:

There is no fiscal impact currently, other than the costs of the election. If the voters approve the tax measure, the tax measure would generate substantial additional revenues, projected to be approximately $3.83 million annually.

CONCLUSION:

Staff recommends that Council adopt Resolution No. 2026-##

ATTACHMENTS:

A. Proposed Resolution No. 2026-, A Resolution of the City Council of the City of Marina Ordering the Submission to City Voters of a Proposed Utility Users' Tax of 7% at the General Municipal Election to Be Held on November 3, 2026, as Previously Called by Resolution No. 2026-71

B. Proposed Ordinance No. 2026-, An Ordinance of the City of Marina Imposing a Utility Users' Tax

_____
Layne P. Long
City Manager
City of Marina

REVIEWED/CONCUR:

_____
René A. Ortega
City Attorney
City of Marina

EXHIBIT A

RESOLUTION NO. 2026-

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF MARINA ORDERING THE SUBMISSION TO CITY VOTERS OF A PROPOSED UTILITY USERS' TAX OF 7% AT THE GENERAL MUNICIPAL ELECTION TO BE HELD ON NOVEMBER 3, 2026, AS PREVIOUSLY CALLED BY RESOLUTION NO. 2026-71

WHEREAS, the City is responsible for maintaining essential municipal services and protecting the public health, safety, and welfare of the Marina community; and

WHEREAS, the City is committed to maintaining a safe, high-quality community, delivering emergency response services, and providing essential municipal services and facilities for residents, businesses, and visitors; and

WHEREAS, the City has historically maintained strong financial restraint to protect against unexpected economic conditions and ensure a healthy reserve policy that protects against economic volatility and prioritizes essential services; and

WHEREAS, General Fund revenues support essential services, including police protection, 911 emergency response, youth and senior programs, library services, parks, infrastructure maintenance, and general municipal operations; and

WHEREAS, the City General Fund revenues are insufficient to support major facility investments such as police station, fire station, city hall and council chamber facilities, and using such current general funds to pay for new facilities would require significant cuts in other essential services such as police and fire staffing, street repair and maintenance, parks and recreation programming, and keeping public areas clean and safe; and

WHEREAS, the City has a desire to improve fire and emergency life saving response times throughout areas within the City that currently experience times in excess of ten minutes to respond, which is double the industry standard for response times; and

WHEREAS, the current fire station located in the Public Safety Building near Palm Avenue can no longer fit modern fire trucks inside the garage, provide essential fire gear storage that ensures the health of firefighters, and has no additional capacity to expand firefighter capacity to meet the needs of a growing city; and

WHEREAS, the Police headquarters is also located in the Public Safety Building, has no additional capacity to support adding police officers, has insufficient capacity to handle public engagement with victims of crimes in private, does not provide consistent backup power during power outages to ensure that police operations remain available during times of particular risk, and does not have sufficient locker space to accommodate the growing contributions of female police officers; and

WHEREAS, both the City police and fire operations operate in a building that does not meet seismic standards such that at the greatest time of need after an earthquake event the City emergency response could be paralyzed by the destruction of its own facility; and

WHEREAS, the City Hall and Council Chamber facilities are operating out of fifty-year-old temporary trailers that do not meet accessibility standards, undermine the operational efficiency of city staff to deliver for residents and are not reflective of the community's values, and

WHEREAS, a City Facilities Citizen Advisory Committee (CFCAC) made up of residents from across the City thoroughly examined City facilities and unanimously agreed that replacement of the facilities is needed and important to the future and safety of the community; and

WHEREAS, the CFCAC recommended that a utility users' tax (UUT) is a logical revenue source to fund the City's General Fund to support a budget that would fund necessary facility investments; and

WHEREAS, the City is the only city along the Monterey coastline that does not have a UUT, which is one of the few additional options available to cities to help fund essential services; and

WHEREAS, the proposed UUT would be applied to both businesses and residents, but would include provisions to reduce the tax by 50% for lower-income residents and seniors, and

WHEREAS, the proposed UUT would help diversify the City's revenue sources to ensure stable fiscal operations and aid in compensating for changing consumer shopping patterns, and

WHEREAS, to fund general City services, including those items discussed herein, the City Council is proposing this measure as a long-term source of locally-controlled funding that can only be used for local Marina services and to address local priorities; and

WHEREAS, this measure could help maintain funding for City services and help implement the plans of the City by establishing a general tax in which the proceeds will be deposited in the City's General Fund for general government use; and

WHEREAS, this measure incorporates accountability requirements such as public disclosure of all spending, local control, and annual independent financial audits that ensure funds are spent appropriately; and

WHEREAS, the City Council finds that revenues from a voter-approved UUT would stay in the City to support essential services and community priorities, including maintaining 911 emergency response and proactive law enforcement, maintaining senior and youth programs, and library services, maintaining streets and sidewalks, and maintaining safe parks and protecting open space; and

WHEREAS, if approved by voters, a 7% UUT tax would be levied until ended by the voters and would generate approximately $3,830,000 annually; and

WHEREAS, this ballot measure shall be known and may be cited as the "Marina 911 Emergency, Public Safety, and Community Services Measure" and shall be referred to herein as the "Measure;" and

WHEREAS, California Constitution Article XIIIC, Section 2, provides that no local government may increase any general tax unless and until that tax is submitted to the electorate and approved by a majority vote, and that a measure proposing to adopt a general tax must be consolidated with a regularly scheduled general municipal election for members of the City Council; and

WHEREAS, on June 16, 2026, the City Council adopted Resolution No. 2026-71, calling a general municipal election on November 3, 2026 and requesting that the Board of Supervisors of the County of Monterey consolidate the City's general municipal election with the statewide general election to be held on the same date; and

WHEREAS, the Marina City Council is authorized by California Elections Code Section 9222 to submit to the voters propositions for the enactment or amendment of any ordinance, including tax measures; and

WHEREAS, California Government Code Section 53724(b) authorizes the City Council to place a general tax measure before the voters upon a two-thirds vote of all members of the City Council; and

WHEREAS, on the basis of the foregoing, the City Council has determined it is appropriate to place a measure levying a 7% UUT before the voters at the general municipal election consolidated with the statewide general election on November 3, 2026; and

NOW, THEREFORE, BE IT RESOLVED by the City Council of the City of Marina as follows:

Section 1. Ballot Measure and Ballot Question

(a) Pursuant to Government Code Section 53724 and Elections Code Section 9222, the City Council orders that the following measure be submitted to the voters of the City of Marina on the ballot at the general municipal election on November 3, 2026:

MARINA 911 EMERGENCY, PUBLIC SAFETY, AND COMMUNITY SERVICES MEASURE. To ensure firefighters, paramedics, police officers response to emergencies/ natural disasters, emergency operations during an earthquake; maintain safe/clean drinking water; repair streets/potholes; prevent disruptions to City services; and provide general municipal services, shall the City of Marina's measure establishing a 7% utility users' tax with low-income rates, generating approximately $3,830,000 annually until ended by voters, requiring spending disclosures, audits, all funds spent locally, be adopted?	**YES** **NO**

(b) As the City Council by Resolution No. 2026-71, on June 16, 2026, requested that the County of Monterey Board of Supervisors consolidate the City's general municipal election with the

statewide general election to be held on November 3, 2026, pursuant to the requirements of Elections Code Section 10403, the City Council hereby requests that the County of Monterey Board of Supervisors authorize the submission of this ballot measure to the voters of the City of Marina in the consolidated municipal and statewide election held on November 3, 2026.

(c) This ballot measure requires the approval of a majority (50% +1) vote of the City of Marina electorate voting on the measure at the November 3, 2026, election in order to become effective.

Section 2. Proposed Ordinance

(a) The full text of the proposed Ordinance to be submitted to the voters is attached to this Resolution as Exhibit 1.

(b) The City Council hereby approves the submission of the proposed Ordinance, as set forth in Exhibit 1, to the voters of the City at the November 3, 2026, general municipal election.

(c) The proposed Ordinance imposes a 7% utility users' tax with specified exemptions and reductions. The proposed tax is for general City purposes and revenues will be deposited in the City's general fund.

(d) If the above ballot measure is approved by the City of Marina electorate as specified herein, then the Ordinance shall become effective immediately upon adoption.

Section 3. Copy of Ordinance Available to Public

Because the proposed Ordinance is lengthy, and as authorized by Elections Code section 9280, the entire text of the Measure shall not be placed in the voter information guide or sample ballot. Instead, the Measure (including the full text of the proposed Ordinance) shall be available free of charge at City Hall, on the City's website, and by mail upon request.

Section 4. Transmittal of Resolution

The City Clerk is directed to file a certified copy of this Resolution, with Exhibits, with the County of Monterey Board of Supervisors and the County Elections Official as soon as possible and in any event no later than close of business on August 7, 2026.

Section 5. Impartial Analysis

In accordance with Elections Code Section 9280, the City Clerk is directed to transmit a copy of the Measure to the City Attorney, who is directed to prepare an impartial analysis not exceeding 500 words showing the effect of the measure on existing law and the operation of the measure. The analysis shall include a statement indicating that the Measure was placed on the ballot by the City Council. The impartial analysis shall be filed with the City Clerk by 5:00 p.m. on August 13, 2026.

Section 6. Ballot Arguments

(a) The primary arguments for and against the measure shall be submitted to the City Clerk by 5:00 p.m. on August 13, 2026, and shall not exceed 300 words.

(b) Rebuttal arguments concerning the measure may be submitted to the City Clerk by 5:00 p.m. on August 20, 2026, and shall not exceed 250 words.

(c) The City Council authorizes the following two members of its body, _____ and _____, to file a written primary argument in favor of the Measure as specified above. The Council member authors may identify additional individuals to sign the argument in favor, as long as no more than five total authors sign. The foregoing authorization also applies to the rebuttal argument. The Council member authors may also authorize another person to sign the rebuttal argument, in accordance with Elections Code section 9285.

Section 7. Severability

If any section, subsection, sentence, clause, phrase or word of this Resolution is for any reason held to be invalid and/or unconstitutional by a court of competent jurisdiction, such decision shall not affect the validity of the remaining portions of this Resolution. The City Council hereby declares that it would have adopted this Resolution and each section or subsection, sentence, clause and phrase thereof, irrespective of the fact that any one or more sections, subsections, sentences, clauses or phrases be declared invalid.

Section 8. CEQA

The City Council hereby finds that the adoption of this Resolution is exempt from the provisions of the California Environmental Quality Act (Public Resources Code Sections 21000 et seq., "CEQA," and 14 Cal. Code Regs. Sections 15000 et seq., "CEQA Guidelines"), because it involves the creation of a government funding mechanism which does not involve any commitment to any specific project which may result in a potentially significant impact on the environment and thus is not a project subject to the requirements of CEQA pursuant to CEQA Guidelines Section 15378(b)(4), and because it is an organizational and administrative activity of government that will not result in a direct or indirect physical change in the environment pursuant to CEQA Guidelines Section 15378(b)(5).

Section 9. State Election Law

In all particulars not recited in this Resolution, the election shall be held and conducted as provided by law for holding municipal elections.

Section 10. Clerk and City Manager Authorized to Take All Necessary Acts

Notice of the time and place of the election is hereby given. Additionally, the City Clerk is authorized, instructed, and directed to give all required notices under the Elections Code, and procure and furnish any and all official ballots, notices, printed matter and all supplies, equipment, and paraphernalia as may be necessary in order to properly and lawfully conduct the

election. In addition, the City Manager and/or his designees are authorized and directed to do any and all things and to execute, deliver, and perform any and all agreements and documents that they deem necessary or advisable in order to effectuate the purposes of this Resolution.

Section 11. Certification

The City Clerk shall certify to the passage and adoption of this Resolution and enter it into the book of original Resolutions.

PASSED AND ADOPTED by the City Council of the City of Marina at a regular meeting duly held on the 7th day of July 2026, by the following vote:

AYES: COUNCILMEMBERS:
NOES: COUNCIL MEMBERS:
ABSTAIN: COUNCILMEMBERS:
ABSENT: COUNCILMEMBERS:

_____
Bruce C. Delgado, Mayor

ATTEST:

_____
Anita Sharp, Deputy City Clerk

2088901.1

EXHIBIT B - REVISED

ORDINANCE NO. ___

AN ORDINANCE OF THE CITY OF MARINA IMPOSING A UTILITY USERS' TAX

The people of the City of Marina do ordain as follows:

Section 1. Marina Municipal Code Amended

A new Chapter 3.07, UTILITY USERS' TAX is hereby added to Title 3—REVENUE AND FINANCE of the City of Marina Municipal Code. This new Chapter is added as follows:

3.07.010 Title and Purpose.

A. This chapter shall be known as the "Utility Users' Tax Ordinance for the City of Marina." This chapter is adopted pursuant to the powers of the City as a charter city, as authorized by the Constitution of the State of California, and is adopted as a tax levy to meet the usual current expenses of the City.

3.07.020 Definitions.

The following words and phrases, whenever used in this chapter, shall be construed as defined in this section:

A. "Ancillary telecommunication services" shall mean services that are associated with or incidental to the provision, use or enjoyment of telecommunications services, including but not limited to the following services:

1. "Conference bridging service" shall mean an ancillary service that links two (2) or more participants of an audio or video conference call and may include the provision of a telephone number. Conference bridging service does not include the telecommunications services used to reach the conference bridge.

2. "Detailed telecommunications billing service" shall mean an ancillary service of separately stated information pertaining to individual calls on a customer's billing statement.

3. "Directory assistance" shall mean an ancillary service of providing telephone number information, and/or address information.

4. "Vertical service" shall mean an ancillary service that is offered in connection with one (1) or more telecommunications services, which offers advanced calling features that allow customers to identify callers and to manage multiple calls and call connections, including conference bridging services.

5. "Voice mail service" shall mean an ancillary service that enables the customer to store, send or receive recorded messages. Voice mail service does not include any vertical services that the customer may be required to have in order to utilize the voice

mail service.

B. "Ancillary video services" means services that are associated with or incidental to the provision or delivery of video services, including but not limited to electronic program guide services, recording services, search functions, or other interactive services or communications that are associated with or incidental to the provision, use or enjoyment of video services.

C. "Billing address" shall mean the mailing address of the service user where the service provider submits invoices or bills for payment by the service users.

D. "City" shall mean the City of Marina.

E. "City Manager" shall mean the City Manager, or his or her authorized representative.

F. "CPI" shall mean the Consumer Price Index for the San Francisco-Oakland-San Jose Area.

G. "Gas" shall mean natural or manufactured gas or any alternative hydrocarbon fuel, which may be substituted therefor.

H. "Mobile telecommunications service" shall mean commercial mobile radio service, as defined in Section 20.3 of Title 47 of the Code of Federal Regulations, and as set forth in the Mobile Telecommunications Sourcing Act (4 U.S.C. Section 124) and the regulations thereunder.

I. "Month" shall mean a calendar month.

J. "Non-utility service supplier" shall mean:

1. A service supplier, other than a supplier of electric distribution services to all or a significant portion of the City, which generates electricity for sale to others, and shall include but not be limited to any publicly owned electric utility, investor-owned utility, cogenerator, distributed generation provider, exempt wholesale generator (42~~15~~ U.S.C. Section 16451(6)~~79z-5a~~), municipal utility district, Federal power marketing agency, electric rural cooperative, or other supplier or seller of electricity;

2. An electric service provider (ESP), electricity broker, marketer, aggregator (including a community choice aggregator), pool operator, or other electricity supplier other than a provider of electric distribution services to all or a significant portion of the City, which sells or supplies electricity or supplemental services to electricity users within the City; and

3. A gas service supplier, aggregator, marketer or broker, other than a supplier of gas distribution services to all or a significant portion of the City, which sells or supplies gas or supplemental services to gas users within the City.

K. "Paging service" means a "telecommunications service" that provides transmission of coded radio signals for the purpose of activating specific pagers; such transmissions may include

messages and/or sounds.

L. "Person" shall mean, without limitation, any domestic, nonprofit or foreign corporation; firm; association; syndicate; joint stock company; partnership of any kind; limited liability company; joint venture; club; trust; Massachusetts business or common law trust; estate; society; cooperative; receiver, trustee, guardian or other representative appointed by order of any court; any natural individual; joint power agency, municipal district or municipal corporation, other than the City.

M. "Place of primary use" shall mean the street address representative of where the customer's use of the telecommunications service primarily occurs, which must be the residential street address or the primary business street address of the customer.

N. "Post-paid telecommunication service" shall mean the telecommunication service obtained by making a payment on a communication-by-communication basis either through the use of a credit card or payment mechanism such as a bank card, travel card, credit card, or debit card, or by charge made to a service number which is not associated with the origination or termination of the telecommunication service.

O. "Prepaid telecommunication service" shall mean the right to access telecommunication services, which must be paid for in advance and which enables the origination of communications using an access number or authorization code, whether manually or electronically dialed, and shall include "prepaid mobile telephony~~e~~ services" as defined in Revenue and Taxation Code Section 42101~~004~~(k).

P. "Private telecommunication service" shall mean a telecommunication service that entitles the customer to exclusive or priority use of a communications channel or group of channels between or among termination points, regardless of the manner in which such channel or channels are connected, and includes switching capacity, extension lines, stations, and any other associated services that are provided in connection with the use of such channel or channels. A communications channel is a physical or virtual path of communications over which signals are transmitted between or among customer channel termination points (i.e., the location where the customer either inputs or receives the communications).

Q. "Service address" shall mean the residential street address or the business street address of the service user. For a telecommunications or video service user, "service address" means either:

1. The location of the service user's telecommunication or video equipment from which the communication originates or terminates, regardless of where the communication is billed or paid; or

2. If the location in subsection Q.1 of this definition is unknown (e.g., mobile telecommunications service or VoIP service), the service address shall mean the location of the service user's place of primary use.

3. For prepaid telecommunication service, "service address" means the point of sale of the services where the point of sale is within the City, or, if unknown, the known

address of the service user (e.g., billing address or location associated with the service number), which locations shall be presumed to be the place of primary use.

R. "Service supplier" shall mean any person, including the City, who provides or sells any service subject to any tax thereunder, including, without limitation, telecommunication, video, electric, gas or water service to a user of such services within the City. The term shall include any person required to collect, or self-collect under Section 3.07-080, and remit a tax as imposed by this chapter, including its billing agent in the case of electric or gas suppliers.

S. "Service user" shall mean a person required to pay a tax imposed by this chapter.

T. "State" shall mean the State of California.

U. "Tax Administrator" shall mean the Finance Director, or his or her authorized representative or designee.

V. "Telecommunications services" shall mean the transmission, conveyance, or routing of voice, data, audio, video, or any other information or signals to a point, or between or among points, whatever the technology used, and includes broadband service (e.g., digital subscriber line (DSL), fiber optic, coaxial cable, and wireless broadband, including Wi-Fi, WiMAX, and Wireless MESH) to the extent Federal and/or State law permits taxation of such broadband services, now or in the future. The term "telecommunications service" includes such transmission, conveyance, or routing in which computer processing applications are used to act on the form, code or protocol of the content for purposes of transmission, conveyance or routing without regard to whether such service is referred to as voice over Internet protocol (VoIP) services or is classified by the Federal Communications Commission as enhanced or value added, and includes video and/or data service that is functionally integrated with "telecommunication services." Telecommunications services include, but are not limited to, the following services, regardless of the manner or basis on which such services are calculated or billed: ancillary telecommunication services; intrastate, interstate and international telecommunication services; all forms of VoIP service; mobile telecommunications service; prepaid telecommunication service; post-paid telecommunication service; private telecommunication service; paging service; 800 service (or any other toll-free numbers designated by the Federal Communications Commission); 900 service (or any other similar numbers designated by the Federal Communications Commission for services whereby subscribers who call in to prerecorded or live service).

W. "Video programming" means those programming services commonly provided to subscribers by a "video service supplier" including but not limited to basic services, premium services, audio services, video games, pay-per-view services, video on demand, origination programming, or any other similar services, regardless of the content of such video programming, or the technology used to deliver such services, and regardless of the manner or basis on which such services are calculated or billed.

X. "Video services" means "video programming" and any and all services related to the providing, recording, delivering, use or enjoyment of "video programming" (including origination programming and programming using Internet Protocol, e.g., IP-TV, IP-Video, and

over the top TV or OTT) by a "video service supplier," regardless of the technology used to deliver, store or provide such services, and regardless of the manner or basis on which such services are calculated or billed, and includes ancillary video services, data services, "telecommunication services," or interactive communication services that are functionally integrated with "video services."

Y. "Video service supplier" means any person, company, or service which provides or sells video programming, or provides or sells the capability to receive video programming, including any communications that are ancillary, necessary or common to the provision, use or enjoyment of the video programming, to or from a business or residential address in the City, where some fee is paid, whether directly or included in dues or rental charges for that service, whether or not public rights-of-way are utilized in the delivery of the video programming or communications. A "video service supplier" includes, but is not limited to, multichannel video programming distributors (as defined in 47 U.S.C.A. Section 522(13)); open video systems (OVS) suppliers; and suppliers of cable television; master antenna television; satellite master antenna television; multichannel multipoint distribution services (MMDS); video services using Internet protocol (e.g., IP-TV and IP-Video, which provide, among other things, broadcasting and video on demand), direct broadcast satellite to the extent Federal law permits taxation of its video services, now or in the future; and other suppliers of video services (including two (2) way communications), whatever their technology.

Z. "VoIP" (voice over Internet protocol) means the digital process of making and receiving real-time voice transmissions over any Internet protocol network.

AA. "800 service" means a "telecommunications service" that allows a caller to dial a toll-free number without incurring a charge for the call. The service is typically marketed under the name "800," "855," "866," "877," and "888" toll-free calling, and any subsequent numbers designated by the Federal Communications Commission.

BB. "900 service" means an inbound toll "telecommunications service" purchased by a subscriber that allows the subscriber's customers to call in to the subscriber's prerecorded announcement or live service. "900 service" does not include the charge for: collection services provided by the seller of the "telecommunications services" to the subscriber, or service or product sold by the subscriber to the subscriber's customer. The service is typically marketed under the name "900" service, and any subsequent numbers designated by the Federal Communications Commission.

3.07-030 Constitutional and Statutory Exemptions and Reductions

A. The taxes imposed by this chapter shall not apply to ~~any~~ either of the following~~, each of which will be considered an "exemption" for the purposes of this chapter~~:

1. Any person or service if imposition of such tax upon that person or service would be in violation of a Federal or State statute or the Constitution of the State of California, or the Constitution of the United States; or

2. The City, and the State of California and its subdivisions.

~~A.~~B. The taxes imposed by this chapter shall be subject to the following reductions, each of which shall be considered an "exemption" for the purposes of this chapter:

~~3.~~1. Low Income Reduction. A residential service user shall be eligible for a fifty percent (50%) reduction of the taxes imposed by this chapter if he or she is qualified and is enrolled in Pacific Gas & Electric Company's (PG&E) CARE Program ("California Alternate Rates for Energy" program). Individuals receiving the reduction described in this subsection must reside at the location receiving the service; the reduction shall not apply to any nonresidential service location.

~~4.~~2. Low-income Senior Reduction. A residential service user who is sixty-five (65) years old or older and is the head of a household that is at or below eighty percent (80%) of Area Median Income for Monterey County shall be eligible for a fifty percent (50%) reduction of the taxes imposed by this chapter.

~~B.~~C. Any service user that is exempt from the tax imposed by this chapter pursuant to subsection A of this section shall file an application with the Tax Administrator for an exemption; provided, however, this requirement shall not apply to a service user that is a State or Federal agency or subdivision with a commonly recognized name for such service. Said application shall be made upon a form approved by the Tax Administrator and shall state those facts, declared under penalty of perjury, which qualify the applicant for an exemption, and shall include the names of all service suppliers serving that service user. If deemed exempt by the Tax Administrator, such service user shall give the Tax Administrator timely written notice of any change in service suppliers so that the Tax Administrator can properly notify the new service supplier of the service user's tax exempt status. A service user that fails to apply and obtain an exemption pursuant to this section shall not be entitled to a refund of a users' tax collected and remitted to the Tax Administrator from such service user as a result of such noncompliance.

~~C.~~D. The decision of the Tax Administrator regarding an exemption application may be appealed pursuant to Section 3.07-210. Filing an application with the Tax Administrator and appeal to the City Manager, or designee, pursuant to Section 3.07-210 is a prerequisite to a suit thereon.

~~D.~~E. The City Council may, by resolution, establish one (1) or more classes of persons or one (1) or more classes of utility service otherwise subject to payment of a tax imposed by this chapter and provide that such classes of persons or service shall be exempt, in whole or in part from such tax for a specified period of time.

3.07-040 Telecommunication Users' Tax.

A. There is hereby imposed a tax upon every person in the City using telecommunication services. The tax imposed by this section shall be at the rate of seven percent (7%) of the charges made for such services and shall be collected from the service user by the telecommunication services supplier or its billing agent, or as otherwise provided by law. There is a rebuttable presumption that telecommunication services, which are billed to a billing or service address in the City, are used, in whole or in part, within the City's boundaries, and such services are subject to taxation under this section. There is also a rebuttable presumption that prepaid

telecommunication services sold within the City are primarily used, in whole or in part, within the City and are therefore subject to taxation under this section. If the billing address of the service user is different from the service address, the service address of the service user shall be used for purposes of imposing the tax. As used in this section, the term "charges" shall include the value of any other services, credits, property of every kind or nature, or other consideration provided by the service user in exchange for the telecommunication services.

B. "Mobile telecommunications service" shall be sourced in accordance with the sourcing rules set forth in the Mobile Telecommunications Sourcing Act (4 U.S.C. Section 116 et seq~~24~~). The Tax Administrator may issue and disseminate to telecommunication service suppliers, which are subject to the tax collection requirements of this section, sourcing rules for the taxation of other telecommunication services, including but not limited to post-paid telecommunication services, prepaid telecommunication services, and private telecommunication services; provided, that such rules are based upon custom and common practice that further administrative efficiency and minimize multi-jurisdictional taxation.

C. The Tax Administrator may issue and disseminate to telecommunication service suppliers, which are subject to the tax collection requirements of this section, an administrative ruling identifying those telecommunication services, or charges therefor, that are subject to the tax of subsection A of this section. This administrative ruling shall not impose a new tax, revise an existing tax methodology as stated in this section, or increase an existing tax, except as allowed by California Government Code Section 53750(h)(2)-(3)~~(A)~~.

D. As used in this section, the term "telecommunication services" shall include, but is not limited to, charges for: connection, reconnection, termination or early termination charges; movement or change of telecommunication services; late payment fees; detailed billing; central office and custom calling features (including but not limited to call waiting, call forwarding, caller identification and three (3) way calling); voice mail and other messaging services; directory assistance; access and line charges; universal service charges; fees, charges or surcharges, imposed by any State or Federal agency or law (whether such charges or surcharges are imposed on the service supplier or the customer); local number portability charges; and text and instant messaging. "Telecommunication services" shall not include digital downloads that are not "ancillary telecommunication services," such as music, ringtones, games, and similar digital products.

E. To prevent actual multi-jurisdictional taxation of telecommunication services subject to tax under this section, any service user, upon proof to the Tax Administrator that the service user has previously paid the same tax in another state or city on such telecommunication services, shall be allowed a credit against the tax imposed to the extent of the amount of such tax legally imposed in such other state or city; provided, however, the amount of credit shall not exceed the tax owed to the City under this section.

F. The tax on telecommunication services imposed by this section shall be collected from the service user by the service supplier. The amount of tax collected in one (1) month shall be remitted to the Tax Administrator, and must be received by the Tax Administrator on or before the twentieth day of the following month.

3.07-050 Video Users' Tax.

A. There is hereby imposed a tax upon every person in the City using video services from a video provider. The tax imposed by this subsection shall be at the rate of seven percent (7%) of the charges made for such services, and shall be collected from the service user by the video service supplier or its billing agent. There is a rebuttable presumption that video services, which are billed to a billing or service address in the City, are used, in whole or in part, within the City's boundaries, and such services are subject to taxation under this chapter. If the billing address of the service user is different from the service address, the service address of the service user shall be used for purposes of imposing the tax.

B. As used in this section, the term "charges" shall include, but is not limited to, charges for the following:

1. Fees, charges or surcharges imposed by any State or Federal agency or law; including franchise fees and access fees (PEG): whether such fees, charges or surcharges are imposed on the service supplier or the customer;

2. Initial installation of equipment necessary for provision and receipt of video services;

3. Late fees, collection fees, bad debt recoveries, and return check fees;

4. Activation fees, reactivation fees; termination or early termination charges; and reconnection fees;

5. Video programming and video services;

6. Ancillary video programming services (e.g., electronic program guide services, search functions, recording functions, or other interactive services or communications that are ancillary, necessary or common to the use or enjoyment of the video services);

7. Equipment leases (e.g., remote, set box, recording and/or search devices; converters); and

8. Service calls, service protection plans, name changes, changes of services, and special services.

C. As used in this section, the term "charges" shall include the value of any other services, credits, property of every kind or nature, or other consideration provided by the service user in exchange for the video services.

D. The Tax Administrator may issue and disseminate to video service suppliers, which are subject to the tax collection requirements of this chapter, an administrative ruling identifying those video services, or charges therefor, that are subject to or not subject to the tax of subsection A of this section.

E. The tax imposed by this section shall be collected from the service user by the video

service supplier, its billing agent, or a reseller of such services. In the case of video service, the service user shall be deemed to be the purchaser of the bulk video service (e.g., an apartment owner), unless such service is resold to individual users, in which case the service user shall be the ultimate purchaser of the video service. The amount of tax collected in one (1) month shall be remitted to the Tax Administrator, and must be received by the Tax Administrator on or before the twentieth day of the following month.

3.07-060 Electricity Users' Tax.

A. There is hereby imposed a tax upon every person using electricity in the City. The tax imposed by this section shall be at the rate of seven percent (7%) of the charges made for such electricity, and for any supplemental services or other associated activities directly related to and/or necessary for the provision of electricity to the service user, which are provided by a service supplier or non-utility service supplier to a service user. The tax shall be collected from the service user by the service supplier or non-utility service supplier, or its billing agent.

B. As used in this section, the term "charges" shall apply to all services, components and items that are: (1) necessary or common to the receipt, use and enjoyment of electric service; or (2) currently, or historically have been, included in a single or bundled rate for electric service by a local distribution company to a class of retail customers. The term "charges" shall include, but is not limited to, the following charges:

1. Energy charges;

2. Distribution or transmission charges;

3. Metering charges;

4. Standby, reserves, firming, voltage support, regulation, emergency, or other similar charges for supplemental services to self-generation service users;

5. Customer charges, late charges, service establishment or reestablishment charges, termination or early termination charges, demand charges, fuel or other cost adjustments, power exchange charges, independent system operator (ISO) charges, stranded investment or competitive transition charges (CTC), public purpose program charges, nuclear decommissioning charges, trust transfer amounts (bond financing charges), franchise fees, franchise surcharges, annual and monthly charges, and other charges, fees and surcharges which are necessary to or common for the receipt, use and enjoyment of electric service; and

6. Fees, charges or surcharges imposed by any State or Federal agency or law, whether or not such fees, charges or surcharges appear on a bundled or line item basis on the customer billing, or whether they are imposed on the service provider or the customer.

C. As used in this section, the term "charges" shall include the value of any other services, credits, property of every kind or nature, or other consideration provided by the service user in exchange for the electricity or services related to the provision of such electricity.

D. The Tax Administrator, from time to time, may survey the electric service suppliers to identify the various unbundled billing components of electric retail service that they commonly provide to residential and commercial/industrial customers in the City, and the charges therefor, including those items that are mandated by State or Federal regulatory agencies as a condition of providing such electric service. The Tax Administrator, thereafter, may issue and disseminate to such electric service providers an administrative ruling identifying those components and items which are: (1) necessary or common to the receipt, use or enjoyment of electric service; or (2) currently, or historically have been, included in a single or bundled rate for electric service by a local distribution company to a class of retail customers. Unbundled charges for such components and items shall be subject to the tax of subsection A of this section.

E. As used in this section, the term "using electricity" shall not be construed to include the mere receiving of such electricity by an electric public utility or governmental agency at a point within the City for resale.

F. The tax on electricity provided by self-production or by a non-utility service supplier not under the jurisdiction of this chapter shall be collected and remitted in the manner set forth in Section 3.07-080. All other taxes on charges for electricity imposed by this section shall be collected from the service user by the electric service supplier or its billing agent. The amount of tax collected in one (1) month shall be remitted to the Tax Administrator, and must be received by the Tax Administrator on or before the twentieth day of the following month; or, at the option of the person required to collect and/or remit the tax, such person shall remit an estimated amount of tax measured by the tax billed in the previous month or upon the payment pattern of the service user, which must be received by the Tax Administrator on or before the twentieth day of following month; provided, that the service user shall submit an adjusted payment or request for credit, as appropriate, within sixty (60) days following each calendar quarter. The credit, if approved by the Tax Administrator, may be applied against any subsequent tax bill that becomes due.

3.07-070 Gas Users' Tax.

A. There is hereby imposed a tax upon every person using gas in the City, which is delivered through a pipeline distribution system or by mobile transport. The tax imposed by this section shall be at the rate of seven percent (7%) of the charges made for such gas, including all services related to the storage, transportation and delivery of such gas. The tax shall be collected from the service user by the service supplier or non-utility service supplier, or its billing agent, and shall apply to all uses of gas, including but not limited to heating, electric generation by a nonpublic utility, and the use of gas as a component of a manufactured product.

B. As used in this section, the term "charges" shall apply to all services, components and items for gas service that are: (1) necessary or common to the receipt, use and enjoyment of gas service; or (2) currently, or historically have been, included in a single or bundled rate for gas service by a local distribution company to a class of retail customers. The term "charges" shall include, but is not limited to, the following charges:

1. The commodity charges for purchased gas, or the cost of gas owned by the service user (including the actual costs attributed to drilling, production, lifting, storage,

gathering, trunkline, pipeline, and other operating costs associated with the production and delivery of such gas), which is delivered through a gas pipeline distribution system;

2. Gas transportation charges (including interstate charges to the extent not included in commodity charges);

3. Storage charges; provided, however, that the service provider shall not be required to apply the tax to any charges for gas storage services when the service providers cannot, as a practical matter, determine the jurisdiction where such stored gas is ultimately used; but it shall be the obligation of the service user to self-collect the amount of tax not applied to any charge for gas storage by the service supplier and to remit the tax to the appropriate jurisdiction;

Capacity or demand charges, late charges, service establishment or reestablishment charges, termination or early termination charges, marketing charges, administrative charges, transition charges, customer charges, minimum charges, annual and monthly charges, and any other charges which are necessary or common to the receipt, use and enjoyment of gas service; and

4. Fees, charges or surcharges imposed by any State or Federal agency or law, whether or not such fees, charges or surcharges appear on a bundled or line item basis on the customer billing, or whether they are imposed on the service provider or the customer.

C. As used in this section, the term "charges" shall include the value of any other services, credits, property of every kind or nature, or other consideration provided by the service user in exchange for the gas or services related to the delivery of such gas.

D. The Tax Administrator, from time to time, may survey the gas service suppliers to identify the various unbundled billing components of gas retail service that they commonly provide to residential and commercial/industrial customers in the City, and the charges therefor, including those items that are mandated by State or Federal regulatory agencies as a condition of providing such gas service. The Tax Administrator, thereafter, may issue and disseminate to such gas service suppliers an administrative ruling identifying those components and items which are: (1) necessary or common to the receipt, use or enjoyment of gas service; or (2) currently, or historically have been, included in a single or bundled rate for gas service by a local distribution company to a class of retail customers. Charges for such components and items shall be subject to the tax of subsection A of this section.

E. As used in this section, the term "using gas" shall not be construed to include the mere receiving of such gas by a gas public utility or governmental agency at a point within the City for resale.

F. The tax on gas provided by self-production or by a non-utility service supplier not under the jurisdiction of this chapter shall be collected and remitted in the manner set forth in Section 3.07-080. All other taxes on charges for gas imposed by this section shall be collected from the service user by the gas service supplier or its billing agent. The amount of tax collected in one (1) month shall be remitted to the Tax Administrator, and must be received by the Tax

Administrator on or before the twentieth day of the following month; or, at the option of the person required to collect and/or remit the tax, such person shall remit an estimated amount of tax measured by the tax billed in the previous month or upon the payment pattern of the service user, which must be received by the Tax Administrator on or before the twentieth day of the following month; provided, that the service user shall submit an adjusted payment or request for credit, as appropriate, within sixty (60) days following each calendar quarter. The credit, if approved by the Tax Administrator, may be applied against any subsequent tax bill that becomes due.

3.07-080 Collection of Tax from Service Users Receiving Direct Purchase of Gas or Electricity

A. Any service user subject to the tax imposed by Section 3.07-060 or 3.07-070, which produces gas or electricity for self-use; which receives gas or electricity, including any related supplemental services, directly from a non-utility service supplier not under the jurisdiction of this chapter; or which, for any other reason, is not having the full tax collected and remitted by its service supplier, a non-utility service supplier, or its billing agent on the use of gas or electricity in the City, including any related supplemental services, shall report said fact to the Tax Administrator and shall remit the tax due directly to the Tax Administrator within thirty (30) days of such use. In lieu of paying said actual tax, the service user may, at its option, remit to the Tax Administrator within thirty (30) days for such use an estimated amount of tax measured by the tax billed in the previous month, or upon the payment pattern of similar customers of the service supplier using similar amounts of gas or electricity; provided, that the service user shall submit an adjusted payment or request for credit, as appropriate, within sixty (60) days following each calendar quarter. The credit, if approved by the Tax Administrator, may be applied against any subsequent tax bill that becomes due.

B. The Tax Administrator may require said service user to identify its non-utility service supplier and provide, subject to audit, invoices, books of account, or other satisfactory evidence documenting the quantity of gas or electricity used, including any related supplemental services, and the cost or price thereof. If the service user is unable to provide such satisfactory evidence, or, if the administrative cost of calculating the tax in the opinion of the Tax Administrator is excessive, the Tax Administrator may determine the tax by applying the tax rate to the equivalent charges the service user would have incurred if the gas or electricity used, including any related supplemental services, had been provided by the service supplier that is the primary supplier of gas or electricity within the City.

C. If the service user or its agent produces electricity for self-use and fails to meter the amount of electricity used by the service user, or fails to meter the amount of electricity that is taken against electricity provided by a service supplier (e.g., net-metering), the Tax Administrator may, for purposes of calculating the tax hereunder, estimate the amount of electricity that is self-produced based on the manufacturer's estimate of annual electricity generation for the facility used by the service user to generate electricity.

3.07-090 Nonresidential Rebate (Gas and Electricity)

Except as otherwise provided herein, any nonresidential service user, other than an electrical

corporation or gas corporation, with combined electric and gas taxes of more than the amount established by resolution of the Council but not to exceed Nine Thousand Nine Hundred and no/100ths ($9,900.00) Dollars, which amount shall be annually adjusted each fiscal year to reflect the Consumer Price Index (CPI), shall receive a rebate from taxes collected in excess of the amount established by resolution of the Council during a fiscal year for such use. Rebates shall be made monthly. Businesses eligible for the decreased tax described above shall advise the City of any rebate due by submitting a copy of each month's electric and gas bills to the City Finance Director.

3.07-100 Water Users' Tax

A. There is imposed a tax upon every person using water in the City which is transported and delivered through a pipeline distribution system. The tax imposed by this section shall be at the rate of seven percent (7%) of the charges made for such water.

B. As used in this section, the term "charges" shall apply to all services, components and items that are: (1) necessary for or common to the receipt, use or enjoyment of water service; or (2) currently are or historically have been included in a single or bundled rate for water service by a local distribution company to a class of retail customers. The term "charges" shall include, but is not limited to, the following charges: water commodity charges (potable and nonpotable); distribution or transmission charges; metering charges; customer charges; fire protection services; late charges; service establishment or reestablishment charges; franchise fees; franchise surcharges; annual and monthly charges; and other charges, fees and surcharges which are necessary for or common to the receipt, use or enjoyment of water service; and charges, fees, or surcharges, which are mandated by any State or Federal agency or law, or a water district, whether or not such charges, fees, or surcharges appear on a bundled or line item basis on the customer billing.

C. As used in this section, the term "charges" shall include the value of any other services, credits, property of every kind or nature, or other consideration provided by the service user in exchange for the water services.

D. The Tax Administrator, from time to time, may survey the water service suppliers in the City to identify the various unbundled billing components of water retail service that they commonly provide to residential and commercial/industrial customers in the City, and the charges therefor, including those items that are mandated by a water district or a State or Federal agency as a condition of providing such water service. The Tax Administrator, thereafter, may issue and disseminate to such water service suppliers an administrative ruling identifying those components and items which are: (1) necessary for or common to the receipt, use or enjoyment of water service; or (2) currently are or historically have been included in a single or bundled rate for water service by a local distribution company to a class of retail customers. Charges for such components and items shall be subject to the tax of subsection A of this section.

E. The tax on water service imposed by this section shall be collected from the service user by the water service supplier or its billing agent. The amount of tax collected in one (1) month shall be remitted to the Tax Administrator, and must be received by the Tax Administrator on or before the twentieth day of the following month.

3.07-110 Effect of Commingling Taxable Items with Nontaxable Items

If any nontaxable service charges are combined with and not separately stated from taxable service charges on the customer bill or invoice of a service supplier, the combined charge is subject to tax unless the service supplier is able to establish reasonable values for the portions of the combined charge that are nontaxable and taxable. If the service supplier offers a combination of taxable and nontaxable services, and the charges are separately stated, the service supplier shall assign reasonable values for the taxable and nontaxable services. In assigning reasonable values for taxable and nontaxable services under this section, the service supplier may use reasonable and verifiable standards, as approved by the Tax Administrator, such as: (a) the books and records kept in the regular course of business and in accordance with generally accepted accounting principles (not created and maintained for tax purposes); (b) the market value of such taxable and nontaxable services when offered on a stand-alone basis by the supplier or its competitors; or (c) other similar evidence of value. The service supplier has the burden of proving to the satisfaction of the Tax Administrator the proper valuation and apportionment of taxable and nontaxable charges under this section.

3.07-120 Substantial Nexus/Minimum Contacts

For purposes of imposing a tax or establishing a duty to collect and remit a tax under this chapter, "substantial nexus," "substantial economic presence," and "minimum contacts" shall be construed broadly in favor of the imposition, collection and/or remittance of the utility users' tax to the fullest extent permitted by State and Federal law, and as it may change from time to time by judicial interpretation or by statutory enactment. Any telecommunication service (including VoIP) used by a person with a service address in the City, which service is capable of terminating a call to another person on the general telephone network, shall be subject to a rebuttable presumption that "substantial nexus/minimum contacts" exists for purposes of imposing a tax, or establishing a duty to collect and remit a tax, under this chapter. A service supplier shall be deemed to have sufficient activity in the City for tax collection and remittance purposes if its activities include, but are not limited to, any of the following: maintains or has within the City, directly or through an agent, affiliate or subsidiary, a place of business of any nature; solicits business in the City by employees, independent contractors, resellers, agents, affiliates or other representatives; solicits business in the City on a continuous, regular, seasonal or systematic basis by means of advertising that is broadcast or relayed from a transmitter within the City or distributed from a location within the City; or advertises in newspapers or other periodicals printed and published within the City or through materials distributed in the City by means other than the United States mail; or if there are activities performed in the City on behalf of the service supplier that are significantly associated with the service supplier's ability to establish and maintain a market in the City for the provision of utility services that are subject to a tax under this chapter (e.g., an affiliated person engaging in activities in the City that inure to the benefit of the service supplier in its development or maintenance of a market for its services in the City).

3.07-130 Duty to Collect – Procedures

A. Collection by Service Suppliers. The duty of service suppliers to collect and remit the taxes imposed by the provisions of this chapter shall be performed as follows:

1. The tax shall be collected by service suppliers insofar as practicable at the same time as, and along with, the collection of the charges made in accordance with the regular billing practice of the service supplier. Where the amount paid by a service user to a service supplier is less than the full amount of the charge and tax that was accrued for the billing period, a proportionate share of both the charge and the tax shall be deemed to have been paid. In those cases where a service user has notified the service supplier of refusal to pay the tax imposed on said charges, Section 3.07-160 shall apply.

2. The duty of a service supplier to collect the tax from a service user shall commence with the beginning of the first regular billing period applicable to the service user where all charges normally included in such regular billing are subject to the provisions of this chapter. Where a person receives more than one (1) billing, one (1) or more being for different periods than another, the duty to collect shall arise separately for each billing period.

B. Filing Return and Payment. Each person required by this chapter to remit a tax shall file a return to the Tax Administrator, on forms approved by the Tax Administrator, on or before the due date. The full amount of the tax collected shall be included with the return and filed with the Tax Administrator. The Tax Administrator is authorized to require such additional information as he or she deems necessary to determine if the tax is being levied, collected, and remitted in accordance with this chapter. Returns are due immediately upon cessation of business for any reason. Pursuant to Revenue and Tax Code Section 7284.6, the Tax Administrator, and its agents, shall maintain such filing returns as confidential information that is exempt from the disclosure provisions of the Public Records Act.

3.07-140 Collection Penalties – Service Suppliers or Self-Collectors

A. Taxes collected from a service user, or owed by a service user subject to Section 3.07-080, are delinquent if not received by the Tax Administrator on or before the due date. Should the due date occur on a weekend or legal holiday, the return must be received by the Tax Administrator on the first regular working day following the weekend or legal holiday. A direct deposit, including electronic fund transfers and other similar methods of electronically exchanging monies between financial accounts, made by a service supplier in satisfaction of its obligations under this section shall be considered timely if the transfer is initiated on or before the due date, and the transfer settles into the City's account on the following business day.

B. If the person required to collect and/or remit the utility users' tax fails to collect the tax (by failing to properly assess the tax on one (1) or more services or charges on the customer's billing) or fails to remit the tax collected on or before the due date, or, in the case of a service user that fails to properly self-collect and remit the tax under Section 3.07-080 on or before the due date, the Tax Administrator shall attach a penalty for such delinquencies or deficiencies at the rate of fifteen (15%) percent of the total tax that is delinquent or deficient in the remittance, and shall pay interest at the rate of three-quarters (0.75%) percent per month, or any fraction thereof, on the amount of the tax, exclusive of penalties, from the date on which the remittance first becomes delinquent, until paid.

C. The Tax Administrator shall have the power to impose additional penalties upon persons

required to collect and remit taxes pursuant to the provisions of this chapter for fraud or gross negligence in reporting or remitting at the rate of fifteen (15%) percent of the amount of the tax collected and/or required to be remitted, or as recomputed by the Tax Administrator.

D. For collection purposes only, every penalty imposed and such interest that is accrued under the provisions of this section shall become a part of the tax herein required to be paid.

E. Notwithstanding the foregoing, the Tax Administrator may, in his or her discretion, modify the due dates and/or penalty and interest provisions of this section to be consistent with any uniform standards or procedures that are mutually agreed upon by UUT public agencies, or otherwise legally established, to create a UUT central payment location or mechanism.

3.07-150 Deficiency Determination and Assessment – Tax Application Errors

A. The Tax Administrator shall make a deficiency determination if he or she determines that any person required to pay or collect taxes pursuant to the provisions of this chapter has failed to pay, collect, and/or remit the proper amount of tax by improperly applying or failing to apply the tax to one or more taxable services or charges. Nothing herein shall require that the Tax Administrator institute proceedings under this section if, in the opinion of the Tax Administrator, the cost of collection or enforcement likely outweighs the tax benefit.

B. The Tax Administrator shall mail a notice of such deficiency determination to the person required to pay or remit the tax, which notice shall refer briefly to the amount of the taxes owed, plus interest at the rate of three-quarters (0.75%) percent per month, or any fraction thereof, on the amount of the tax from the date on which the tax should have been received by the City. Within fourteen (14) calendar days after the date of service of such notice, the person may send a request in writing to the Tax Administrator asking for a hearing on the matter.

C. If the person fails to request a hearing within the prescribed time period, the amount of the deficiency determination shall become a final assessment, and shall immediately be due and owing to the City. If the person requests a hearing, the Tax Administrator shall cause the matter to be set for hearing, which shall be scheduled within thirty (30) days after receipt of the written request for hearing. Notice of the time and place of the hearing shall be mailed by the Tax Administrator to such person at least ten (10) calendar days prior to the hearing, and, if the Tax Administrator desires said person to produce specific records at such hearing, such notice may designate the records requested to be produced.

D. At the time fixed for the hearing, the Tax Administrator shall hear all relevant testimony and evidence, including that of any other interested parties. At the discretion of the Tax Administrator, the hearing may be continued from time to time for the purpose of allowing the presentation of additional evidence. Within a reasonable time following the conclusion of the hearing, the Tax Administrator shall issue a final assessment (or nonassessment), thereafter, by confirming, modifying or rejecting the original deficiency determination, and shall mail a copy of such final assessment to person owing the tax. The decision of the Tax Administrator may be appealed pursuant to Section 3.07-210. Filing an application with the Tax Administrator and appeal to the City Manager, or designee, pursuant to Section 3.07-210 is a prerequisite to a suit thereon.

E. Payment of the final assessment shall become delinquent if not received by the Tax Administrator on or before the thirtieth day following the date of receipt of the notice of final assessment. The penalty for delinquency shall be fifteen (15%) percent on the total amount of the assessment, along with interest at the rate of three-quarters (0.75%) percent per month, or any fraction thereof, on the amount of the tax, exclusive of penalties, from the date of delinquency, until paid. The applicable statute of limitations regarding a claim by the City seeking payment of a tax assessed under this chapter shall commence from the date of delinquency as provided in this subsection E.

F. All notices under this chapter may be sent by regular mail, postage prepaid, and shall be deemed received on the third calendar day following the date of mailing, as established by a proof of mailing.

3.07-160 Administrative Remedy – Nonpaying Service Users

A. Whenever the Tax Administrator determines that a service user has deliberately withheld the amount of the tax owed by the service user from the amounts remitted to a person required to collect the tax, or whenever the Tax Administrator deems it in the best interest of the City, he or she may relieve such person of the obligation to collect the taxes due under this section from certain named service users for specific billing periods. Whenever the service user has failed to pay the amount of tax owed for a period of two (2) or more billing periods, the service supplier shall be relieved of the obligation to collect taxes due. The service supplier shall provide the City with the names and addresses of such service users and the amounts of taxes owed under the provisions of this section. Nothing herein shall require that the Tax Administrator institute proceedings under this section if, in the opinion of the Tax Administrator, the cost of collection or enforcement likely outweighs the tax benefit.

B. In addition to the tax owed, the service user shall pay a delinquency penalty at the rate of fifteen (15%) percent of the total tax that is owed, and shall pay interest at the rate of three-quarters (0.75%) percent per month, or any fraction thereof, on the amount of the tax, exclusive of penalties, from the due date, until paid.

C. The Tax Administrator shall notify the nonpaying service user that the Tax Administrator has assumed the responsibility to collect the taxes due for the stated periods and demand payment of such taxes, including penalties and interest. The notice shall be served on the service user by personal delivery or by deposit of the notice in the United States mail, postage prepaid, addressed to the service user at the address to which billing was made by the person required to collect the tax; or, should the service user have a change of address, to his or her last known address.

D. If the service user fails to remit the tax to the Tax Administrator within thirty (30) days from the date of the service of the notice upon him or her, the Tax Administrator may impose an additional penalty of fifteen (15%) percent of the amount of the total tax that is owed.

3.07-170 Actions to Collect

Any tax required to be paid by a service user under the provisions of this chapter shall be deemed a debt owed by the service user to the City. Any such tax collected from a service user which has

not been remitted to the Tax Administrator shall be deemed a debt owed to the City by the person required to collect and remit and shall no longer be a debt of the service user. Any person owing money to the City under the provisions of this chapter shall be liable in an action brought in the name of the City for the recovery of such amount, including penalties and interest as provided for in this chapter, along with any collection costs incurred by the City as a result of the person's noncompliance with this chapter, including, but not limited to, reasonable attorney's fees. In the event that a service user or service supplier owing a tax under this chapter files bankruptcy, then such debt to the City shall be deemed an unsecured priority excise tax obligation under 11 U.S.C.A. Section 507(a)(8)(C). Service suppliers who seek to collect charges for service in bankruptcy proceedings shall also include in any such claim the amount of taxes due the City for those services, unless the Tax Administrator determines that such duty is in conflict with any Federal or State law, rule, or regulation or that such action would be administratively impractical.

3.07-180 Additional Powers and Duties of the Tax Administrator

A. The Tax Administrator shall have the power and duty, and is hereby directed, to enforce each and all of the provisions of this chapter.

B. The Tax Administrator may adopt administrative rules and regulations consistent with provisions of this chapter for the purpose of interpreting, clarifying, carrying out and enforcing the payment, collection and remittance of the taxes herein imposed. The administrative ruling shall not impose a new tax, revise an existing tax methodology as stated in this chapter, or increase an existing tax, except as allowed by California Government Code Section 53750(h)(2)-(3). A copy of such administrative rules and regulations shall be on file in the Tax Administrator's office. To the extent that the Tax Administrator determines that the tax imposed under this chapter shall not be collected in full for any period of time from any particular service supplier or service user, that determination shall be considered an exercise of the Tax Administrator's discretion to settle disputes and shall not constitute a change in taxing methodology for purposes of Government Code Section 53750 or otherwise. The Tax Administrator is not authorized to take any action that would result in the utility users' tax being "increased" as that term is defined in ~~amend the City's methodology for purposes of~~ Government Code Section 53750. ~~and t~~The City does not waive or abrogate its ability to impose the utility users' tax in full as a result of promulgating administrative rulings or entering into agreements.

C. Upon a proper showing of good cause, the Tax Administrator may make administrative agreements, with appropriate conditions, to vary from the strict requirements of this chapter and thereby: (1) conform to the billing procedures of a particular service supplier (or service user subject to Section 3.07-080) so long as said agreements result in the collection of the tax in conformance with the general purpose and scope of this chapter; or (2) to avoid a hardship where the administrative costs of collection and remittance greatly outweigh the tax benefit. A copy of each such agreement shall be on file in the Tax Administrator's office, and are voidable by the Tax Administrator or the City at any time.

D. The Tax Administrator may conduct an audit, to ensure proper compliance with the requirements of this chapter, of any person required to collect and/or remit a tax pursuant to this

chapter. The Tax Administrator shall notify said person of the initiation of an audit in writing. In the absence of fraud or other intentional misconduct, the audit period or review shall not exceed a period of three (3) years next preceding the date of receipt of the written notice by said person from the Tax Administrator. Upon completion of the audit, the Tax Administrator may make a deficiency determination pursuant to Section 3.07-150 for all taxes (and applicable penalties and interest) owed and not paid, as evidenced by information provided by such person to the Tax Administrator. If said person is unable or unwilling to provide sufficient records to enable the Tax Administrator to verify compliance with this chapter, the Tax Administrator is authorized to make a reasonable estimate of the deficiency. Said reasonable estimate shall be entitled to a rebuttable presumption of correctness.

E. Upon receipt of a written request of a taxpayer, and for good cause, the Tax Administrator may extend the time for filing any statement required pursuant to this chapter for a period of not to exceed forty-five (45) days; provided, that the time for filing the required statement has not already passed when the request is received. No penalty for delinquent payment shall accrue by reason of such extension. Interest shall accrue during said extension at the rate of three-quarters (0.75%) percent per month, prorated for any portion thereof.

F. The Tax Administrator shall determine the eligibility of any person who asserts a right to exemption from, or a refund of, the tax imposed by this chapter.

G. The Tax Administrator, with the written approval of the City Attorney, may compromise a claim pursuant to this chapter where the portion of the claim proposed to be released is equal to or less than Four Thousand Nine Hundred Ninety-Nine and no/100ths ($4,999.00) Dollars; and, with the approval of the City Attorney and the City Council, may compromise such a claim where the portion proposed to be released is greater than Four Thousand Nine Hundred Ninety-Nine and no/100ths ($4,999.00) Dollars.

H. Notwithstanding any provision in this chapter to the contrary, the Tax Administrator may waive any penalty or interest imposed upon a person required to collect and/or remit for failure to collect the tax imposed by this chapter if, in the opinion of the Tax Administrator, the noncollection occurred in good faith. In determining whether the noncollection was in good faith, the Tax Administrator may take into consideration the uniqueness of the product or service, industry practice or other precedence, or whether the person offers to voluntarily disclose its tax liability. To encourage voluntary full disclosure and on-going cooperation on tax collection and remittance, the Tax Administrator, and its agents, may enter into agreements with the tax-collecting service providers and grant prospective only effect on any changes regarding the taxation of services or charges that were previously deemed by the service provider, in good faith and without gross negligence, to be nontaxable. In determining whether the noncollection was in good faith and without gross negligence, the Tax Administrator may take into consideration the uniqueness of the product or service, industry practice or other precedence, and whether the disclosure was voluntarily made by the service provider or its agent.

3.07-190 Records

A. It shall be the duty of every person required to collect and/or remit to the City any tax imposed by this chapter to keep and preserve, for a period of at least three (3) years, all records

as may be necessary to determine the amount of such tax that such person may have been liable for the collection of and remittance to the Tax Administrator, which records the Tax Administrator shall have the right to inspect at a reasonable time.

B. The Tax Administrator may issue an administrative subpoena to compel a person to deliver, to the Tax Administrator, copies of all records deemed necessary by the Tax Administrator to establish compliance with this chapter, including the delivery of records in a common electronic format on readily available media if such records are kept electronically by the person in the usual and ordinary course of business. As an alternative to delivering the subpoenaed records to the Tax Administrator on or before the due date provided in the administrative subpoena, such person may provide access to such records outside the City on or before the due date; provided, that such person shall reimburse the City for all reasonable travel expenses incurred by the City to inspect those records, including travel, lodging, meals, and other similar expenses, but excluding the normal salary or hourly wages of those persons designated by the City to conduct the inspection.

C. The Tax Administrator is authorized to execute a nondisclosure agreement approved by the City Attorney to protect the confidentiality of customer information pursuant to California Revenue and Tax Code Sections 7284.6 and 7284.7. The Tax Administrator may request from a person providing transportation or distribution services of gas or electricity to service users within the City, a list of the names, billing and service addresses, quantities of gas or electricity delivered, and other pertinent information, of its transportation customers within the City pursuant to Section 6354(e) of the California Public Utilities Code.

D. If a service supplier uses a billing agent or billing aggregator to bill, collect, and/or remit the tax, the service supplier shall: (1) provide to the Tax Administrator the name, address and telephone number of each billing agent and billing aggregator currently authorized by the service supplier to bill, collect, and/or remit the tax to the City; and (2) upon request of the Tax Administrator, deliver, or effect the delivery of, any information or records in the possession of such billing agent or billing aggregator that, in the opinion of the Tax Administrator, is necessary to verify the proper application, calculation, collection and/or remittance of such tax to the City.

E. If any person subject to record-keeping under this chapter unreasonably denies the Tax Administrator, or the Tax Administrator's designated representative, access to such records, or fails to produce the information requested in an administrative subpoena within the time specified, the Tax Administrator may impose a penalty of Five Hundred and no/100ths ($500.00) Dollars on such person for each day following: (1) the initial date that the person refuses to provide such access; or (2) the due date for production of records as set forth in the administrative subpoena. This penalty shall be in addition to any other penalty imposed under this chapter.

3.07-200 Refunds/Credits

Whenever the amount of any tax has been overpaid or paid more than once or has been erroneously or illegally collected or received by the Tax Administrator under this chapter, it may be refunded or credited as provided in this section:

A. The Tax Administrator may refund any tax that has been overpaid or paid more than once or has been erroneously or illegally collected or received by the Tax Administrator under this chapter; provided, that no refund shall be paid under the provisions of this section unless the claimant or his or her guardian, conservator, executor, or administrator has submitted a written claim to the Tax Administrator within one (1) year of the overpayment or erroneous or illegal collection of said tax. Such claim must clearly establish claimant's right to the refund by written records showing entitlement thereto. To the extent allowed by law, nothing herein shall permit the filing of a claim on behalf of a class or group of taxpayers unless each member of the class has submitted a written claim under penalty of perjury as provided by this section.

B. The submission of a written claim, which is acted upon by the City Council, shall be a prerequisite to a suit thereon. (See Section 935 of the California Government Code). The Tax Administrator, or the City Council where the claim is in excess of Four Thousand Nine Hundred Ninety-Five and no/100ths ($4,995.00) Dollars, shall act upon the refund claim within the time period set forth in Government Code Section 912.4. If the City Council fails or refuses to act on a refund claim within the time prescribed by Government Code Section 912.4, the claim shall be deemed to have been rejected by the City Council on the last day of the period within which the City Council was required to act upon the claim as provided in Government Code Section 912.4. The Tax Administrator shall give notice of the action in a form that substantially complies with that set forth in Government Code Section 913.

C. Notwithstanding the notice provisions of subsection A of this section, the Tax Administrator may, at his or her discretion, give written permission to a service supplier, who has collected and remitted any amount of tax in excess of the amount of tax imposed by this chapter, to claim credit for such overpayment against the amount of tax which is due the City upon a subsequent monthly return(s) to the Tax Administrator; provided, that, prior to taking such credit by the service supplier: (1) such credit is claimed in a return dated no later than one (1) year from the date of overpayment or erroneous collection of said tax; (2) the Tax Administrator is satisfied that the underlying basis and amount of such credit has been reasonably established; and (3) in the case of an overpayment by a service user to the service supplier that has been remitted to the City, the Tax Administrator has received proof, to his or her satisfaction, that the overpayment has been refunded by the service supplier to the service user in an amount equal to the requested credit.

3.07-210 Appeals

A. The provisions of this section apply to any decision (other than a decision relating to a refund pursuant to Section 3.07-200), deficiency determination, assessment, or administrative ruling of the Tax Administrator. Any person aggrieved by any decision (other than a decision relating to a refund pursuant to Section 3.07-200), deficiency determination, assessment, or administrative ruling of the Tax Administrator, shall be required to comply with the appeals procedure of this section. Compliance with this section shall be a prerequisite to a suit thereon. (See Government Code Section 935(b)). To the extent allowed by law, nothing herein shall permit the filing of a claim or action on behalf of a class or group of taxpayers.

B. If any person is aggrieved by any decision (other than a decision relating to a refund pursuant to Section 3.07-200), deficiency determination, assessment, or administrative ruling of

the Tax Administrator; he or she may appeal to the City Manager by filing a notice of appeal with the City Clerk within fourteen (14) days of the date of the decision, deficiency determination, assessment, or administrative ruling of the Tax Administrator which aggrieved the service user or service supplier.

C. The matter shall be scheduled for hearing before an independent hearing officer selected by the City Manager, or designee, no more than thirty (30) days from the receipt of the appeal. The appellant shall be served with notice of the time and place of the hearing, as well as any relevant materials, at least five (5) calendar days prior to the hearing. The hearing may be continued from time to time upon mutual consent. At the time of the hearing, the appealing party, the Tax Administrator, the City Manager, and any other interested person may present such relevant evidence as he or she may have relating to the determination from which the appeal is taken.

D. Based upon the submission of such evidence and the review of the City's files, the City Manager shall issue a written notice and order upholding, modifying or reversing the determination from which the appeal is taken. The notice shall be given within fourteen (14) days after the conclusion of the hearing and shall state the reasons for the decision. The notice shall specify that the decision is final and that any petition for judicial review shall be filed within ninety (90) days from the date of the decision in accordance with Code of Civil Procedure Section 1094.6.

E. All notices under this section may be sent by regular mail, postage prepaid, and shall be deemed received on the third calendar day following the date of mailing, as established by a proof of mailing.

3.07-220 No Injunction/Writ of Mandate

No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action, or proceeding in any court against this City or against any officer of the City to prevent or enjoin the collection under this chapter of any tax or any amount of tax required to be collected and/or remitted.

3.07-230 Remedies Cumulative

All remedies and penalties prescribed by this chapter or Title 1, or which are available under any other provision of law or equity, including but not limited to the California False Claims Act (Government Code Section 12650 et seq.) and the California Unfair Practices Act (Business and Professions Code Section 17070 et seq.), are cumulative. The use of one (1) or more remedies by the City shall not bar the use of any other remedy for the purpose of enforcing the provisions of this section.

3.07-240 Notice of Changes to Ordinance

If a tax under this chapter is added, repealed, increased, reduced, or the tax base is changed, the Tax Administrator shall follow the notice requirements of Public Utilities Code Section 799.

3.07-250 Future Amendment to Cited Statute

Unless specifically provided otherwise, any reference to a State or Federal statute in this chapter shall mean such statute as it may be amended from time to time. To the extent that the City's authorization to collect or impose any tax imposed under this chapter is expanded or limited as a result of an amendment or new enactment of a State or Federal law, no amendment or modification of this chapter shall be required to conform the tax to those changes, and the tax shall be imposed and collected to the full extent of the authorization up to the full amount of the tax imposed under this chapter.

3.07-260 Annual Rate Review and Independent Audit of Tax Collection, Exemption, Remittance and Expenditure

The City shall annually verify that the taxes owed under this section have been properly applied, exempted, collected, and remitted in accordance with this section, and properly expended according to applicable municipal law. The annual verification shall be performed by a qualified independent third party and the review shall employ reasonable, cost-effective steps to assure compliance, including the use of sampling audits. The verification shall not be required of tax remitters where the cost of the verification may exceed the tax revenues to be reviewed.

3.07-270 No Increase in Tax Percentage or Change in Methodology without Voter Approval – Amendment or Repeal

This chapter may be repealed or amended by the City Council without a vote of the people. However, as required by ~~Chapter~~ Article XIIIC of the California Constitution, voter approval is required for any amendment provision that would increase the rate of any tax levied pursuant to this chapter; provided, however, the following actions shall not constitute an increase of the rate of a tax:

A. The restoration of the rate of the tax to a rate that is no higher than that set by this chapter, if the City Council has acted to reduce the rate of the tax;

B. An action that interprets or clarifies the methodology of the tax, or any definition applicable to the tax, so long as such interpretation or clarification (even if contrary to some prior interpretation or clarification) is not inconsistent with the language of this chapter;

C. The establishment a class of persons that is exempt or excepted from the tax or the discontinuation of any such exemption or exception (other than the discontinuation of an exemption or exception specifically set forth in this chapter); and

D. The collection of the tax imposed by this chapter, even if the City had, for some period of time, failed to collect the tax.

Section 2. Expenditure of Revenues

The revenues from the tax imposed by this Ordinance shall be spent for unrestricted general revenue purposes of the City. All funds shall be spent locally. Nothing herein shall bind the City to use the proceeds for any specific purpose or function.

Section 3. Fiscal Accountability Provisions

The annual revenue generated by the tax imposed by this Ordinance and how it is used shall be included in the annual audit of the City 's financial operations by an independent certified public accountant. The results of the audit related to this Ordinance shall be reported to the City Council and made publicly available.

Section 4. Termination Date

The authority to levy the tax imposed by this Ordinance shall extend until ended by the voters.

Section 5. Effective Date

This Ordinance relates to the levying and collecting of a Utility Users' Tax and shall take effect immediately.

Section 6. Publication

The City Clerk is directed to cause this Ordinance to be published in the manner required by Council resolution.

***

This Ordinance was approved and adopted by a majority vote of the People of the City of Marina at the municipal election consolidated with the November 3, 2026, statewide election.

APPROVED:

_____
Bruce C. Delgado, Mayor

ATTEST:

_____
Anita Sharp, Deputy City Clerk

2089029.3